

Balance-Sheet Analysis. Significance of Book Value

ON NUMEROUS OCCASIONS prior to this point we have expressed our conviction that the balance sheet deserves more attention than Wall Street has been willing to accord it for many years past. By way of introduction to this section of our work, let us list five types of information and guidance that the investor may derive from a study of the balance sheet:

1. It shows how much capital is invested in the business.
2. It reveals the ease or stringency of the company's financial condition, *i.e.*, the working-capital position.
3. It contains the details of the capitalization structure.
4. It provides an important check upon the validity of the reported earnings.
5. It supplies the basis for analyzing the sources of income.

In dealing with the first of these functions of the balance sheet, we shall begin by presenting certain definitions. The *book value* of a stock is the value of the assets applicable thereto as shown in the balance sheet. It is customary to restrict this value to the tangible assets, *i.e.*, to eliminate from the calculation such items as good-will, trade names, patents, franchises, leaseholds. The book value is also referred to as the "asset value," and sometimes as the "tangible-asset value," to make clear that intangibles are not included. In the case of common stocks, it is also frequently termed the "equity."

Computation of Book Value. The *book value per share* of a common stock is found by adding up all the tangible assets, subtracting all liabilities and stock issues ahead of the common and then dividing by the number of shares.